

Profit Niti AI CFO Report

1 Executive Overview — Business Health Assessment

High-level performance summary and key indicators

Performance Summary

The business shows a sharp decline in profitability in May 2024, with net profit plummeting from ₹79.8 Cr to just ₹5.1 Cr, driven by a significant drop in gross margin from 8.88% to 3.73%. While the company has successfully reduced its total liabilities by ₹272 Cr, this has been accompanied by a worrying contraction in sales revenue and a negative cash flow from operations in April. The balance sheet is stronger, but operational efficiency and cash generation are critical areas requiring immediate attention.



Strengths & Positives

- **Strong Debt Reduction:** Reduced total liabilities by ₹272 Cr, improving the debt-to-equity ratio from 2.63 to 2.31.
- **Improved Receivables:** Accounts Receivable Days improved from 14.76 to 11.59 days, indicating faster collection.
- **Healthy Equity Growth:** Total Equity increased by ₹3.87 Cr, strengthening the company's financial base.



Areas for Improvement

- **Collapsing Profitability:** Net Profit Margin crashed from 7.72% to 0.75% due to a severe gross margin squeeze.
- **Negative Operating Cash Flow (April):** Cash from operations was -₹1,028 Cr, a major liquidity warning sign.
- **Rising Inventory Days:** Increased from 18.26 to 24.87 days, tying up more capital in stock.

CFO Recommendation

Priority Action

Immediately investigate the root cause of the gross margin collapse in May (from 8.88% to 3.73%). Conduct a product/customer profitability analysis to identify loss-making segments and review pricing or supplier costs to restore healthy margins, as this is the primary driver of the profit crash.